KYC and Anti-Money Laundering Policy

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This is a synthetic document created for software testing (RAG evaluation). Meridian National Bank is a fictional institution; all figures, names and policies are invented.

1. Purpose and Scope

This policy sets out MNB's customer due diligence framework in line with the RBI Master Direction on KYC and the Prevention of Money Laundering Act, 2002 (PMLA). It applies to all customers, beneficial owners, and walk-in customers conducting transactions of INR 50,000 or more.

2. Officially Valid Documents (OVD)

- Passport, driving licence, voter ID, PAN card, Aadhaar (or masked Aadhaar), NREGA job card signed by a State Government officer, and letter issued by the National Population Register.
- A document with an outdated address may be accepted as proof of identity; a deemed OVD (such as a recent utility bill not older than 2 months or a property tax receipt) may be used for address with an updated OVD to be submitted within 3 months.

3. Customer Risk Categorisation and Re-KYC

Risk category	Examples	Periodic KYC update
Low	Salaried individuals, government employees, pensioners	Every 10 years
Medium	Self-employed with moderate turnover, small businesses	Every 8 years
High	Politically Exposed Persons (PEPs), non-resident customers, trusts and NGOs, high-value cash-intensive businesses	Every 2 years

Customers are notified 90 days before the update is due, then again at 60 and 30 days. Accounts may be restricted if re-KYC is not completed within 30 days after the due date.

4. Account Opening Channels

Accounts may be opened in person, via Video-based Customer Identification Process (V-CIP), or through Aadhaar OTP-based e-KYC. OTP-based e-KYC accounts are limited to INR 1,00,000 in total annual credits and INR 2,00,000 in maximum balance, and must be converted to full KYC within 12 months. Small Accounts (for customers without OVDs) are limited to a balance of INR 50,000 and annual credits of INR 1,00,000, and remain valid for 12 months, extendable by a further 12 months.

5. Transaction Monitoring and Reporting

- Cash Transaction Report (CTR): filed with FIU-IND by the 15th of the following month for cash transactions above INR 10 lakh in a month, or integrally connected cash transactions.
- Suspicious Transaction Report (STR): filed within 7 working days of the Principal Officer concluding that a transaction is suspicious.
- Cross-border Wire Transfer Report: for transfers above INR 5 lakh.
- Records of identity and transactions are retained for 5 years after the end of the business relationship or the date of the transaction, as applicable.

Staff must not inform the customer when an STR has been filed (the 'tipping-off' prohibition).

6. Enhanced Due Diligence

For High-risk customers and PEPs, senior management approval is required to open the account, source of funds and source of wealth must be established, and enhanced ongoing monitoring applies. Walk-in customers must provide proof of identity for single or linked transactions of INR 50,000 or more.